# INVESTMENT POLICY STATEMENT (IPS)

An Investment Policy Statement (IPS) outlines an investor's financial goals, risk tolerance, and guidelines for managing a portfolio. It helps investors stay focused on long-term objectives and make disciplined decisions during changing market conditions.

**Your investment strategy is the cornerstone of the Wharton Global High School Investment Competition, and your IPS is where you clearly articulate that strategy.**

Your strategy should explain how you will invest your client's money to support their financial goals and future cash flow needs while managing risk and uncertainty. It should reflect your client's goals, time horizons, liquidity needs, desired degree of funding certainty, and need for financial flexibility.

## Developing Your Investment Strategy

There is no single "correct" investment strategy for your client. Your team should use research and analysis to develop an approach that reflects your client's financial goals, funding needs, and changing time horizons. As you develop your strategy, consider:

- What is the central idea behind your investment strategy?
- What principles will guide your investment decisions?
- How does your strategy balance growth, risk, liquidity, funding reliability, and financial flexibility?
- How will the portfolio's asset allocation and composition change as future funding needs approach and payments are made?
- How will your strategy protect the operating commitment while preserving flexibility for a responsible facility contribution?

Always remember who your strategy is designed to serve. Your client's profile and financial goals should remain at the center of your investment decisions.

## WHAT YOU WILL SUBMIT

Your IPS submission has two parts.

### 1. Investment Strategy Elevator Pitch

**Maximum 50 words**

Quickly summarize your team's investment strategy. Clearly communicate the central idea behind your approach and how it is designed to support your client's financial goals and future funding needs.

### 2. Investment Policy Statement

**Maximum 500 words**

Clearly explain your team's investment strategy and the reasoning behind it.

Your IPS should demonstrate how your strategy is tailored to your client's financial goals, time horizons, and needs. Explain how your team will approach risk and return, liquidity, portfolio construction and diversification, and planned changes in the portfolio as future funding needs approach.

Your IPS should also establish your strategic approach to preparing for the operating commitment, managing the operating reserve's asset composition over time, determining a responsible facility contribution, and preserving appropriate financial flexibility.

Focus on the strategy and decision-making framework that guide your portfolio rather than describing individual investments or presenting detailed financial calculations.

Your IPS should make it clear:

- What your team is trying to accomplish for the client
- Why your strategy is appropriate for the client and their financial goals
- How your strategy balances growth, liquidity, funding reliability, risk, and financial flexibility
- How your strategy will guide portfolio construction and investment decisions as the client's needs change
- How your approach will protect the required operating payments while supporting a responsible facility contribution

You do not need to address these points separately. Your goal is to present a clear, cohesive, and well-supported investment strategy.

The IPS is not expected to include final operating-reserve calculations, detailed portfolio projections, a final facility-contribution range, or the draft communication to co-sponsors. These elements will be developed and supported in the Final Report using the strategy established in the IPS.

## Your IPS and the Final Report

Your IPS is the foundation of your Final Report and will be evaluated.

Once submitted, the IPS becomes the official record of your team's investment strategy. Your team may not revise its investment strategy after the submission deadline.

Your portfolio and Final Report should reflect the strategy established in your IPS. In the Final Report, your team will evaluate how effectively it implemented that strategy and present its analysis and recommendations for the operating commitment, facility contribution, financial flexibility, and communication with co-sponsors under varying investment outcomes.

# INSTRUCTIONS

## Provide an Investment Strategy Elevator Pitch

- Maximum 50 words
- Quickly summarize your team's investment strategy. Clearly communicate the central idea behind your approach and how it is designed to support your client's financial goals and future funding needs.

## Provide an Investment Policy Statement

- Maximum 500 words
- Clearly explain your team's investment strategy and decision-making framework, including how the strategy addresses Laura's financial goals, funding needs, and risk considerations.

Your team will submit its Investment Policy Statement through the SurveyMonkey Apply form.

Graphics, charts, images, attachments, external links, footnotes, and formal citations are not permitted.

Teams should use research and analysis to develop their strategy, but sources do not need to be cited in the IPS.

Relevant sources and supporting evidence must be included in the Final Report.